Innovatr Intelligence

Gen Z Drinks Less But Demands More

The Rise of Selective Consumption in South Africa

Section 1

The Structural Shift

Frequency is softening; standards are rising.

The frequency myth

Around 6 in 10 urban Gen Z report drinking less often than two years ago, but this is not category rejection.

In cross-category Gen Z tracking studies, self-reported drinking occasions have declined versus older cohorts. The driver is choice, not apathy. Occasions are fewer, but each has higher expectations for taste, design, and social fit.

Expectation per occasion is rising

Over 70% say quality matters more than price when they do drink.

Across recent Innovatr beverage testing, Gen Z respondents prioritise flavour distinctiveness, functional clarity and brand identity over discounts. They are willing to pay when value is obvious and experience feels premium.

Selective consumption defined

Fewer occasions, higher standards, greater scrutiny.

Selective consumption is intentional calibration. Purchase is delayed until a product signals clear purpose and identity. Impulse and habit are replaced by comparison and proof.

This applies to alcohol, RTDs, energy and functional drinks alike.

1 **Intentionality**

Gen Z does not drink automatically. They drink intentionally.

2 **Situational**

They do not buy energy drinks habitually. They buy them situationally.

3 **Justification**

They do not upgrade to functional beverages casually. They justify them.

4 **Calibration**

This is not abstinence. It is active calibration of intake.

Section 2

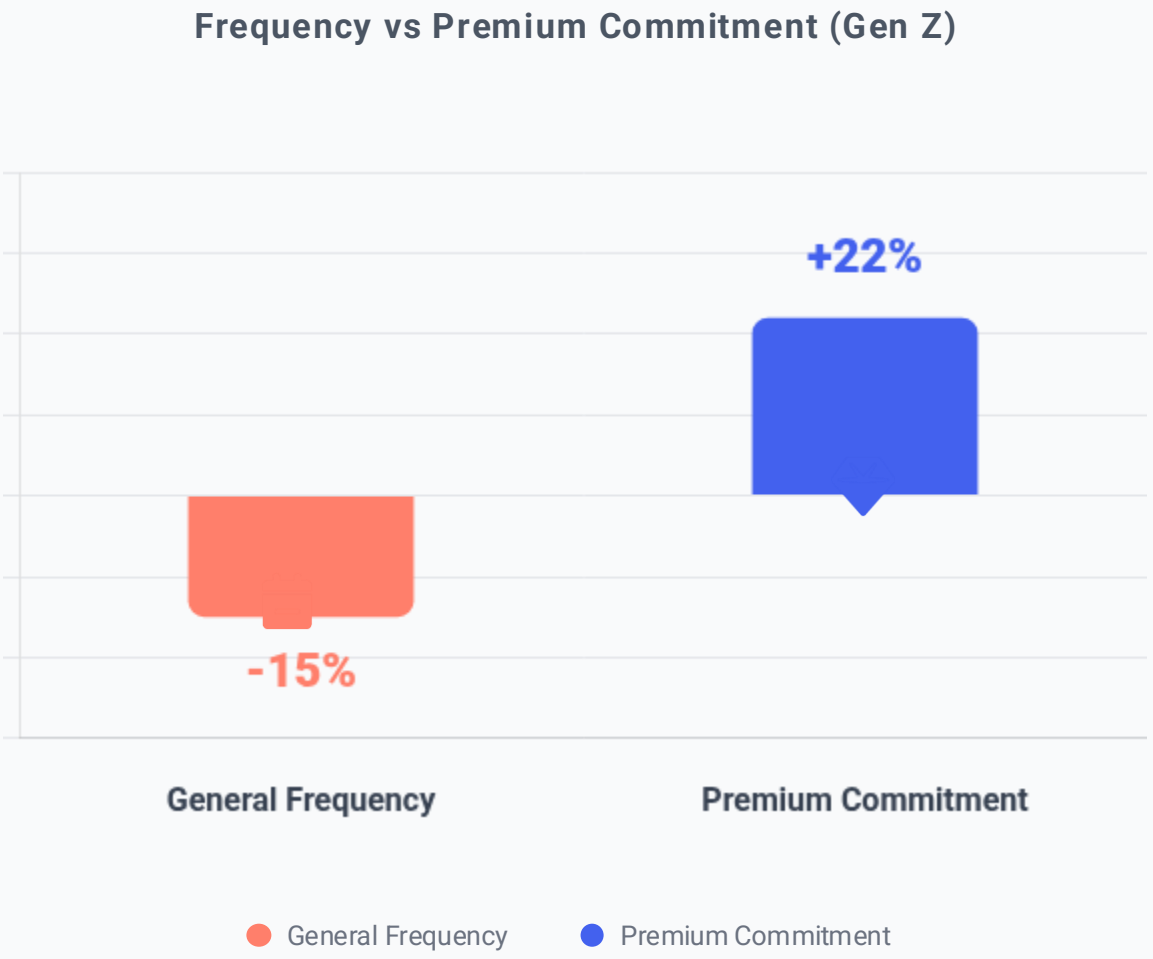
What the Data Shows Across Categories

Consistent Gen Z patterns across alcohol, RTDs, energy and functional beverages.

Lower frequency, higher premium commitment

Gen Z drinks less often but is more willing to choose premium when they do.

In aggregated alcohol testing, premium or craft-led variants attract stronger commitment despite reduced overall frequency. Winning propositions combine distinct flavour, tight design cues and credible stories.



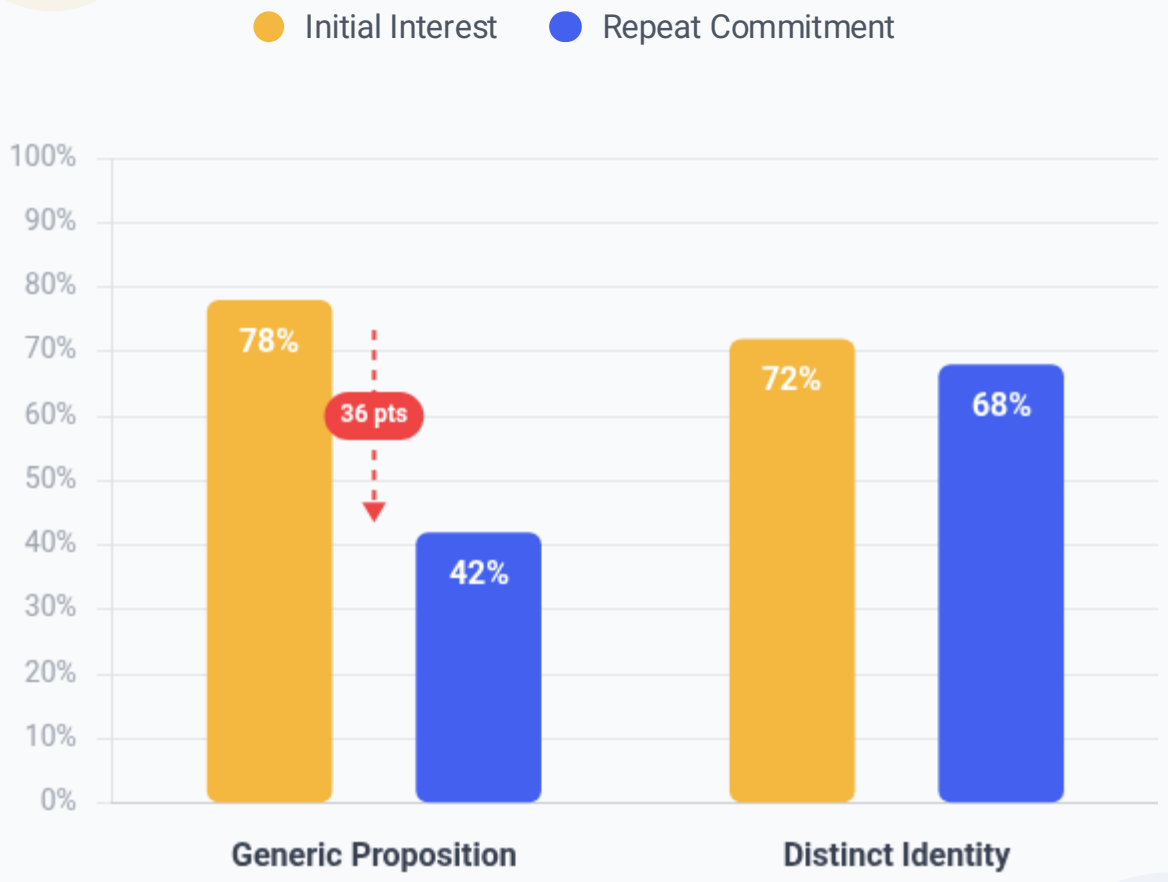
Interest vs repeat gap

Liking is easy; adoption is selective. Double-digit gaps appear when identity or purpose is weak.

In aggregated South African concept screens, many ideas score strong initial interest but underperform on repeat intent when cues are generic. Clear role, occasion and benefit close the gap.

THE "HOLLOW" PROPOSITION

High trial intent (curiosity) but low repeat intent (disappointment) indicates a failure of purpose.



Premium craft vs generic extensions

Differentiation pays.

Premium craft variants outperform generic line extensions by ~10–12 points in commitment among Gen Z.

When flavour profiles are distinct and design signals are strong, Gen Z shows materially higher willingness to buy again. Price competitiveness alone does not compensate for sameness.

↑ Insight: Design cues alone can account for nearly half of this lift.

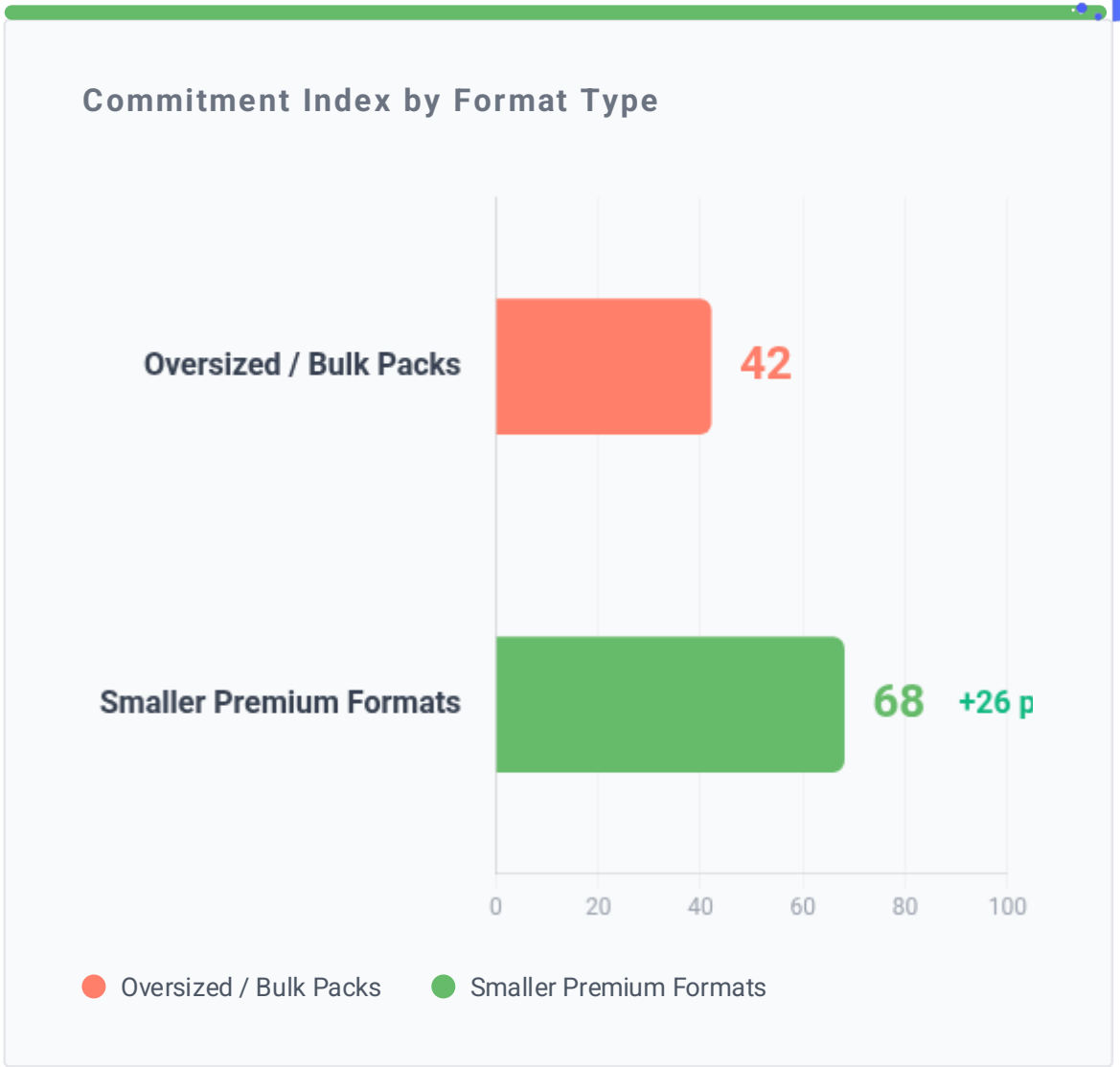
Oversized formats underperform

Smaller and distinctive beats bigger and cheaper.

Bulk value and oversized formats are weaker among Gen Z.

Across category tests, large multi-buys and 1L+ formats under-index on commitment for Gen Z. Compact, premium-feeling formats perform better by signalling control and quality per moment.

Insight: Compact formats signal control rather than excessive consumption.

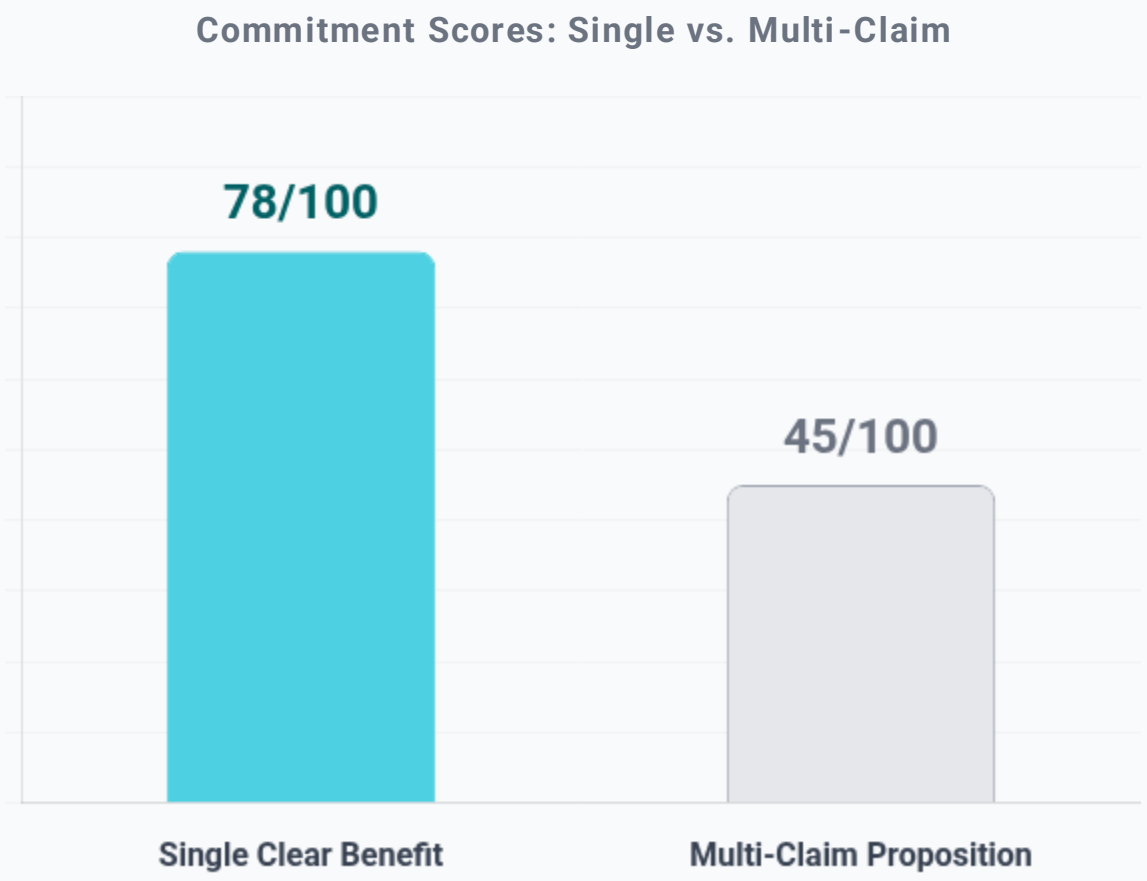


FUNCTIONAL BEVERAGES

Energy and functional scrutiny

Clarity beats breadth: Single, believable benefits outperform multi-claim propositions.

In energy and functional beverage screens, products leading with one clear benefit and proof point drive higher commitment. Overloaded claims read as exaggerated and reduce credibility.



Non-alcohol rotation within occasions

Roughly one third of urban Gen Z report alternating alcoholic and non-alcoholic drinks within the same occasion.

Alcohol-free and low-ABV are not abstinence signals; they are pacing tools. Brands that enable switching without social penalty win more moments across the night. This is calibration, not rejection.

1 in 3

Gen Z Alternate Drinks

Occasion-based purchasing

From habitual to situational. Usage is increasingly planned around specific moments and needs.

Concept diagnostics show Gen Z segmenting choices by occasion rather than brand loyalty alone. Products succeed when they map tightly to these micro-moments with flavour, function, and format aligned.

Pre-drinks

High energy, sharing formats, starter ABV levels for social lubrication and excitement.

The Main Event

Identity signalling packs, durable serve capability, image-conscious choices for social visibility.

Post-event

Winding down, hydration focus, lower ABV or non-alc transition to manage the next day.

Functional Recovery

Study sessions and gym recovery demanding clean energy, focus, and restoration.

Section 3

The South African Amplifier

Context intensifies selectivity.

Income volatility

Tight wallets raise the bar.

Limited margin for error increases selectivity per purchase.

Many Gen Z consumers manage irregular or shared income streams. This elevates the perceived cost of disappointment and drives closer evaluation of flavour, function and brand fit before buying.

Social visibility

Public consumption, public judgement.

What you hold in your hand signals taste, values and self-awareness. Nights out are documented and shared instantly.

Packaging and design have become critical social cues. Products that photograph well and align to identity feel safer, while those that look generic risk reputational drag.

Documented Consumption

Identity Signalling

Consumption is content. Products act as props in the curation of personal brand identity.

Visual Assets

Distinctive packaging that "reads" well on camera outperforms subtle or busy designs.

Social Safety

Premium cues offer protection against judgement; generic options increase social risk.

Reputation economy

Products as personal branding tools.

Identity signalling shapes repeat more than price alone.

Aggregated testing shows stronger repeat among propositions with clear tribe or origin stories. Even modest price premiums are accepted when the product reinforces desired self-presentation.

Consumer Sentiment

"I'll pay more if the brand feels like it 'gets' my group."

Market Reality

Generic packaging is viewed as a social risk in visible moments.

Financial prudence

Value is justification, not discount. Heavy consumption feels expensive and inefficient.

Gen Z evaluates total night cost and outcome. Smaller formats, premium taste and credible benefits feel smarter than chasing volume. Discounts increase trial but rarely secure commitment if the experience doesn't justify the spend.

72%

Seek Justified Value Over Pure Discounts

The next day matters

Hangovers and energy crashes carry higher perceived costs.

Cross-category feedback shows a strong intent to remain functional for study, work, or gym. Low-ABV options, moderated pacing, and clean energy claims align with this mindset.

Gen Z consumers are calculating the "cost" of consumption not just in currency, but in tomorrow's productivity.

Functional Intent

Consumption choices are made to preserve capacity for study sessions, work commitments, or gym performance.

Low-ABV Options

Lower alcohol variants are used as tools to maintain social presence without paying a physical penalty.

Clean Energy Claims

Preference shifts toward functional drinks that promise sustained focus rather than sugar-heavy crash cycles.

Calibration, not abstinence

Control over volume.

Moderation is a positive behaviour, not a retreat.

Alternating ABV levels, choosing smaller serves and opting for purpose-led functional drinks are signs of agency. Brands that enable control without friction deepen loyalty.

Active moderation signals self-awareness and social mastery.

Section 4

Where Strategy Breaks

Volume-first tactics misread selective consumption.

The volume trap

Promotions don’t fix purpose. Multi-buys and bulk packs fail to address selectivity.

Discounts increase trial but not commitment when identity and role are unclear. Spend shifts to fewer, better moments instead of more units.

The discount misread

Lower price ≠ higher repeat. Commitment is constrained by purpose clarity, not just affordability.

Aggregated tests show double-digit gaps where price cuts move interest but fail to change repeat intent. Commitment is driven by the experience's value, not the entry price.

THE "CHEAP" TRAP

Discounts spike initial trial but create no loyalty. When the price returns to normal, the consumer leaves.

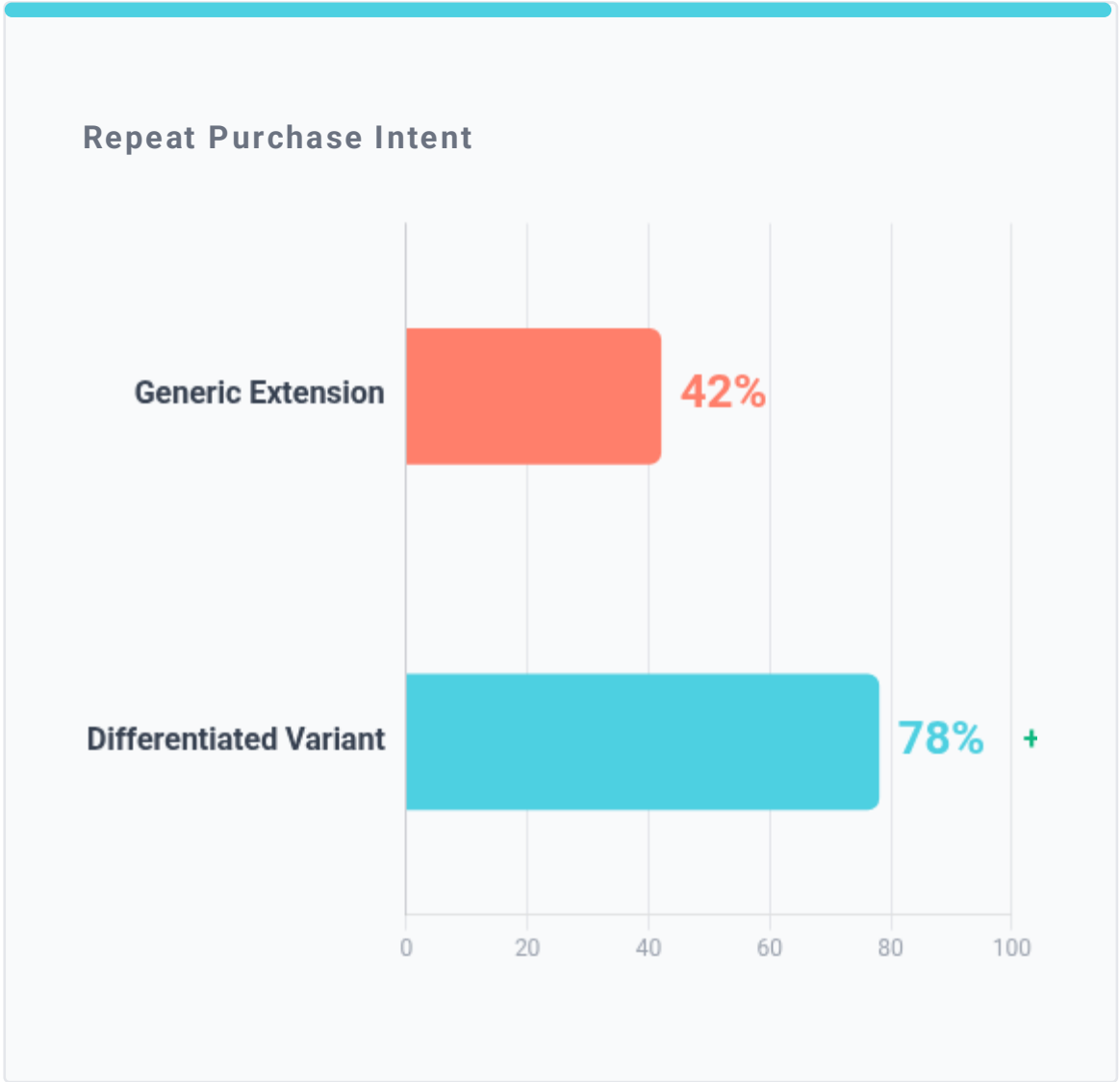
Generic line extensions

Similarity erodes loyalty.

Liking without loyalty is common for me-too variants.

When extensions mimic category norms, repeat stalls despite acceptable liking scores. Distinctive flavour, design and story are required to earn the next occasion.

Insight: Similarity creates a ceiling on loyalty. Differentiation breaks it.



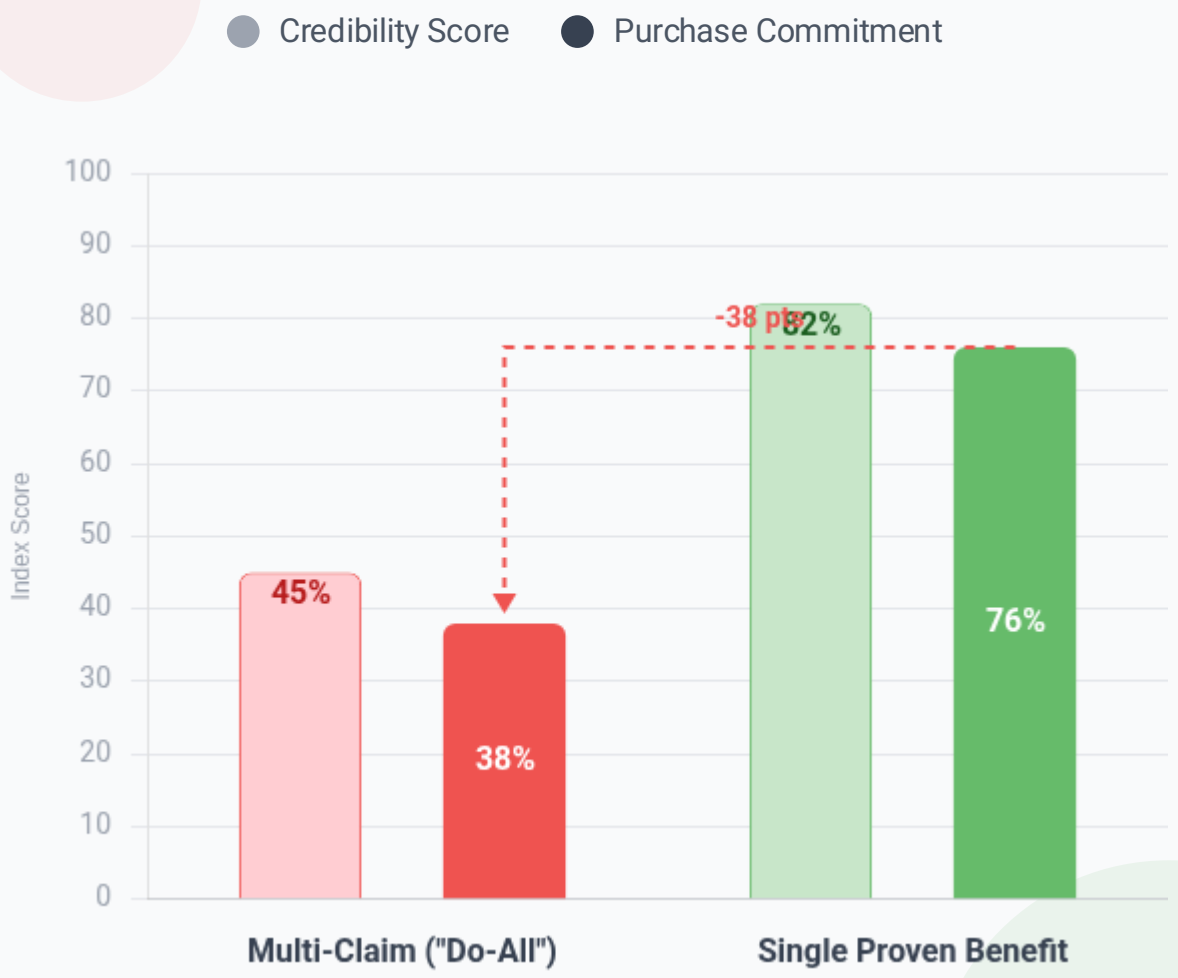
Exaggeration backfires

Commitment drops when benefits feel vague or inflated.

In energy and functional categories, single, provable claims outperform "do everything" messages. Consumers penalise unclear science or jargon with lower credibility scores and reduced purchase intent.

THE CREDIBILITY GAP

Products claiming >3 benefits see a 40% reduction in trust scores compared to single-benefit propositions.



Strategic Risk

Frequency assumptions

Growth models still chase volume, risking misalignment.

Plans that assume more occasions are increasingly disconnected from Gen Z reality. Portfolio targets and channel incentives often prioritise case volume over consumption quality.

Under selective consumption, **value per occasion** and role clarity outperform raw frequency pushes.

Legacy Planning

Annual targets often assume linear frequency growth, ignoring the reality of fewer, more deliberate moments.

Channel Push

Trade incentives that reward volume loading force discounts to clear stock, eroding brand equity.

KPI Blindness

Measuring success by "cases shipped" rather than "commitment earned" masks the loss of repeat purchase intent.

The cost of misalignment

Eroded repeat, weak switching.

Mis-spec'd propositions create shallow loyalty and price churn.

Aggregated diagnostics show double-digit commitment gaps vs well-positioned comparators when claims, format or identity are off. The result is fragile share that swings with deals.

Section 5

Strategic Implications

Win fewer, better moments.

Design for occasion

Build propositions around moments, not mass frequency.

Commercial success now requires specifying the exact occasion, social setting, pacing, and desired feeling. Brands must move from generic "anytime" positioning to precise "this time" relevance.

Then design flavour, format, and communications to fit that moment precisely.

Moment

Identify the specific context (e.g., pre-drinks, wind-down, recovery) rather than broad demographics.

Role

Clarify the functional or emotional job the beverage performs in that specific setting.

Signal

Use packaging, format, and serve style to visually communicate suitability for the occasion.

Proof

Deliver tangible attributes—flavour complexity or functional ingredients—that justify the choice.

The Innovatr Growth Decision System

We don't just "do research". We build your confidence to act.

Clarity Certainty Execution

Test 24 Basic

Fast Validation

Social-style screening to find what wins fast. N=300 Gen Z.

- Swipe-right "Appeal"
- 24hr Turnaround
- Clear Go/No-Go

Get Direction

Upgrade

Test 24 Pro

Deep Certainty

Diagnose *why* it wins and model real-world choice. N=1,000.

- Source of Volume
- Price Sensitivity
- Head-to-Head Choice
- Volumetrics

Optimize Risk

Memberships

Internal Scale

Stop bottlenecking insights. Enable the whole squad.

- Full Library Access
- Monthly Trends
- Team Licenses
- Shared Benchmarks

Enable Team

Consult

Strategic Guidance

Data needs a decision. We help you make the hard calls.

- Portfolio Architecture
- Innovation Pipeline
- Buy/Build/Kill Strategy
- Senior Advisory

Lead Strategy

Workshops

Alignment & Act

Get the room aligned. Leave with a unified plan.

- Half/Full Day Sprints
- Occasion Mapping
- Activation Planning
- No More Silos

Book Session